Outlook

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Separate vintage, product and macro effects

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Portfolio risk is being discussed as a single book, although origination periods experienced different rates, channels and customer conditions. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Could the answer be that recent vintages deteriorate faster? Or are we actually seeing that operational debit failures contaminate credit outcomes? I also do not want us to miss the possibility that product mix creates the apparent vintage effect.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use November 2021 as the new evidence point rather than recycling the earlier conclusion. The practical decision is which vintage needs deeper review and whether policy or operations owns the next action. Please send a control view with the exceptions, owner and reason each item was included; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; debit-order mandates, collection dates, suspensions and cancellations; transaction-level timestamps, channels, amounts, statuses and error context; time-appropriate news and macro-event context. Macro events provide context, not a causal estimate by themselves.

Regards